EXECUTIVE SUMMARY

A. Introduction

Agency Profile

Lal-lo, the former Ciudad de Nueva Segovia, is strategically situated at the center of the Province of Cagayan. As the seat of both the civil and ecclesiastical government during the Spanish Regime, this town is rich in historical heritage and endowed with a lot of tourist attractions. It hosts a good number of caves, war garrisons, ruins of Spanish cultures, the shell midden site, beautiful and clean rural bodies of water and others. Its economic potential is further boosted by the presence of Magapit Suspension Bridge, which is the gateway to the Ilocos Region and the air facility of the Cagayan Economic Zone, the Lal-lo International Airport, as well as the establishment of the Cagayan Sub Capitol at Barangay Bangag.

B. Scope of Audit

The audit covered the accounts and operations of the Municipality of Lal-lo for the year 2023 and was aimed at determining whether management presented fairly the financial statements of the Municipality in adherence to the International Public Sector Accounting Standards and whether prevailing laws, rules and regulations have been complied with, and funds were utilized in the most efficient, effective and economical manner. Financial, compliance and performance audits were conducted to achieve these audit objectives.

C. Financial Highlights

The highlights of the financial position and financial performance of the Municipality of Lal-lo, Cagayan for the year ended December 31, 2023, with comparative figures for CY 2022, are as follows:

Particulars	2023	2022	Increase/ (Decrease)
Financial Position			
Assets	1,306,883,759.72	1,175,836,886.67	131,046,873.05
Liabilities	481,316,373.01	344,980,792.88	136,335,580.13
Government Equity	825,567,386.71	830,856,093.78	(5,288,707.07)
Financial Performance			
Income	441,416,231.91	517,387,281.23	(75,971,049.32)
Expenses	425,012,342.28	414,289,183.59	10,723,158.69
Net Income	16,403,889.63	103,098,097.64	(86,694,208.01)

D. Operational Highlights

The major accomplishments of the Municipality for CY 2023, in terms of implementation of programs, projects and activities, are as follows:

Name of Program/ Project/ Activity	Amount
Construction of Barangay Health Station	P2,989,520.00
Improvement/Rehabilitation of Abattoir	1,494,670.00
Installation of Streetlights	987,700.00
Concreting of Abagao Cullit Road	5,992,457.95
Concreting of San Mariano Barangay Road	4,996,061.28
Concreting of CSU-Magapit FMR	6,992,805.40
Concreting of Lalafugan Barangay Road	3,995,450.88
Concreting of Cabayabasan Cemetery Road	1,996,515.81
Concreting of Cambong Barangay Road	2,995,882.07
Construction of 5 Units MPDP	1,519,250.00
Construction of 5 Units Palay Shed	1,869,250.00
Total	**P35,829,563.39**

E. Independent Auditor's Report on the Financial Statements

The Auditor rendered a Qualified Opinion on the fairness of presentation of the financial statements of the Municipality of Lal-lo, Cagayan for the year-ended December 31, 2023 due to the unreliable balances of Real Property Tax and Special Education Tax Receivables accounts totaling ₱93,293,993.28 and existence of properties classified as unserviceable and those below the capitalization threshold totaling P39,072,170.97, which affect the reliability of the balance of PPE account amounting to P1.047B.

F. Summary of Audit Observations and Recommendations

The following are among the Audit Team's significant audit observations and recommendations:

1. The year-end balances of intra-agency accounts, "Due from Other Funds" and "Due to Other Funds", which are reciprocal in nature, have a discrepancy of P9,614,537.65, thus, affecting the fair presentation of the accounts in the Financial Statements.

   We recommended that the Management direct the Municipal Accountant to reconcile the accounts, Due from Other Funds and Due to Other Funds and effect adjustments to reflect the correct account balances and present reliable data pursuant to Section 111(2) of P.D. 1445.

2. Various receivables totaling P5,565,233.27 remained unsettled, contrary to COA Circular No. 94-013 dated December 13, 1994, COA Circular No. 2015-009 dated December 1, 2015 and COA Circular No. 2023-008 dated August 17,

2023, thus, affecting the fair presentation of these accounts in the Financial Statements.

We recommended that the Management require the immediate liquidation of fund transfers and stop granting additional fund transfers of assistance to agencies who still have unliquidated cash advances, properly record fund transfers to various agencies and take necessary actions on the dormant receivable accounts, as previously recommended. Furthermore, we recommended that the Municipality strictly adhere with COA Circular No. 94-013 dated December 13, 1994, COA Circular No. 2015-009 dated December 1, 2015 and COA Circular No. 2023-008 dated August 17, 2023 to ensure that the balances of the Due from NGAs, LGUs and NGOs are presented fairly in the Financial Statements.

3. Receipts of cash donations received by the Municipality from several sources for calamity assistance totaling P5,856,620.00 were not recorded to the Trust Liabilities-DRRMF account, contrary to Part B (7) of COA Circular 2014-002 dated April 15, 2014, resulting in the understatement of the account, thus, affecting its fair presentation in the Financial Statements.

   We recommended that the Local Chief Executive require the Municipal Accountant to draw the necessary adjusting journal entries to correct the reported balance of the Trust Liability-DRRM account and ensure that the proper accounting and reporting guidelines of cash donations for DRRM programs pursuant to COA Circular 2014-002 dated April 15, 2014 are strictly complied with.

G. Summary of Total Suspensions, Disallowances, and Charges

Particulars	Beginning Balance	Issued During the Year	Settlement During the Year	Ending Balance	% of Settlement
Suspensions					
Prior Years	P25,130,000.00	-	-	P25,130,000.00	-
Current Year	-	-	-	-	-
Total	P25,130,000.00	-	-	P25,130,000.00	-
Disallowances					
Prior Years	-	-	-	-	-
Current Year	-	-	-	-	-
Total	-	-	-	-	-
Charges			-		
Prior Years	-	-	-	-	-
Current Year	-	-	-	-	-
Total	-	-	-	-	-

H. Status of Implementation of Prior Year's Audit Recommendations

Out of the eleven (11) audit recommendations in the CY 2022 Annual Audit Report, six (6) were fully implemented, three (3) were partially implemented and two (2) were not implemented as at year-end.